Agency Career Track

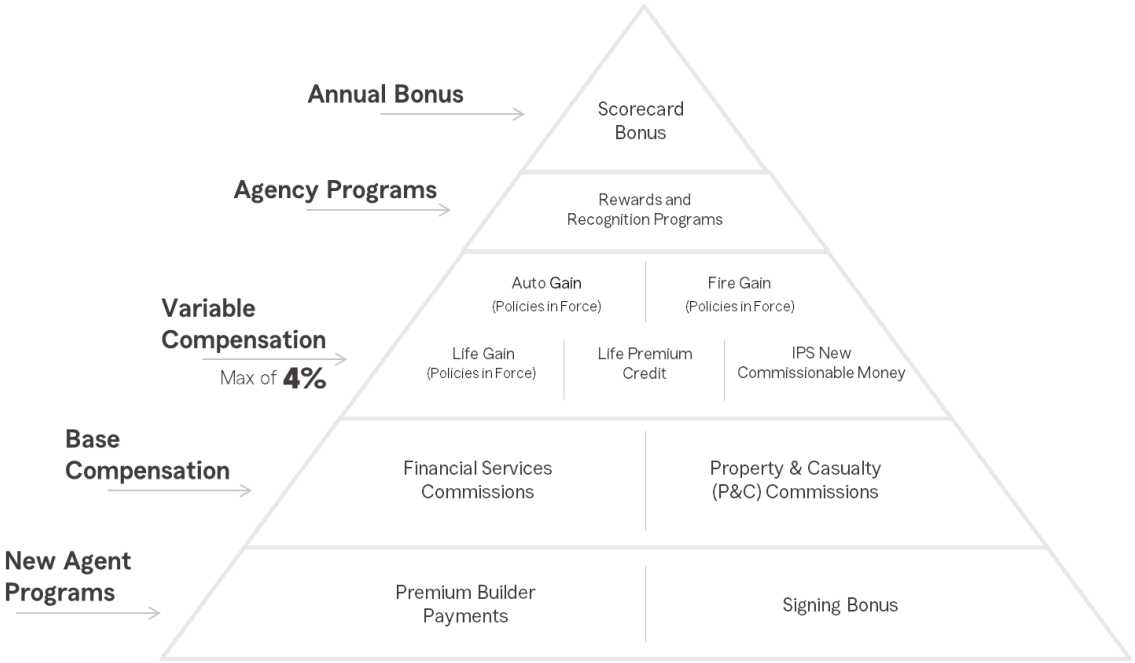
# Agent Compensation

State Farm independent contractor agents market products to help State Farm customers meet their insurance and financial service needs. The more successful you are at helping State Farm customers, the more compensation you may earn.

Agent compensation is based on:

- Personally Produced Business Commissions
- Assigned Business Commissions
- Renewal Business and Servicing Compensation
- Incentives and Bonuses

Below are the five main components that make up the Agent Compensation Structure.




## Signing Bonus and Premium Builder Payments

**Signing Bonus**
After you successfully complete Path to Entrepreneurship and upon appointment as a State Farm independent contractor agent, you may be eligible for a signing bonus totaling up to **$35,000** during your first year.
The signing bonus is paid in two installments – **$20,000** in your very first compensation period and **$15,000** in your second compensation period.

*Bonus amounts may be different in New York and Wisconsin due to state regulations. If applicable to your individual status, please discuss details with your Agency Opportunity Specialist.*

**Premium Builder Payments**
Premium Builder Payments are an additional way State Farm compensates new agents during their first 49 months. These payments are based on the new Auto and Fire insurance premiums you produce each month. Because Auto policies typically cover six months and Fire policies cover a year, the premiums you collect are counted based on those


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time frames (six months for Auto, twelve months for Fire). Each month, the new business you produced in the previous month is reviewed. If the prior month's minimum requirement is met, you may qualify for Premium Builder that month. Once the minimum is met, you can receive anywhere between 50-100% of the maximum monthly payment amount. The monthly maximum payments are adjusted based on the economic index for the Sales Territory at the time of appointment – which is determined by the area's cost of doing business and other factors.

*State Farm reserves the right at any time to discontinue, amend, or modify this program and/or the use of an economic index adjustment. Each Company reserves the right to fix and determine the amount, extent, and conditions of any bonuses, awards, prizes, and allowances.*

At appointment, agents fall into one of the following groups:

- **Agents with Assigned Policies**: These agents receive a book of business with existing customers to service right away. They receive servicing compensation from these assigned policies, and their Premium Builder Payments are reduced dollar-for-dollar by the amount they receive from this compensation.

- **New Market Agents**: These agents typically do not receive a significant number of assigned policies. If they do receive assigned policies, their Premium Builder Payments are generally reduced less due to having less assigned compensation.

The following statements apply regardless of whether you have assigned policies or are a new market agent:
- Premium Builder Payments are paid twice a month (semi-monthly).
- Premium Builder Payments are paid in addition to your regular compensation for the business you personally produce and service.
- As you build your own business, you can make more—but keep in mind Premium Builder Payments gradually decrease as your premium grows.

**Calculating Premium Builder Payments**

| | Annual Maximum PBP Opportunity | Monthly New Auto & Fire Premium Benchmarks | | Monthly PBP Earning Potential |
|---|---|---|---|---|
| **Year 1** | (Standard Assignment X Economic Index) X 8%<br>Divide annual maximum by 12 to determine monthly maximum<br>Standard Assignment used in this calculation = $2,600,000 | **Entry**<br>Based on month 1 results | Minimum: $1,000<br>$1,001 - $10,000+ | 50% of year 1 max monthly payout<br>Range up to max monthly payout |
| | | Based on month 2-11 results | Minimum: $5,000<br>$5,001 - $20,000+ | 50% of year 1 max monthly payout<br>Range up to max monthly payout |
| **Year 2** | Year 1 Maximum PBP Opportunity X 85% | | Minimum: $9,000<br>$9,001 - $22,000+ | 50% of year 2 max monthly payout<br>Range up to max monthly payout |
| **Year 3** | Year 1 Maximum PBP Opportunity X 75% | | Minimum: $12,000<br>$12,001 - $24,000+ | 50% of year 3 max monthly payout<br>Range up to max monthly payout |
| **Year 4** | Year 1 Maximum PBP Opportunity X 66% | | Minimum: $15,000<br>$15,001 - $27,000+ | 50% of year 4 max monthly payout<br>Range up to max monthly payout |

Premium Builder Payments are reduced dollar for dollar by assigned compensation.

As a new agent, your first year maximum Premium Builder Payment compensation potential is 8.0% of your indexed assignment size. Indexed Assignment size is calculated by multiplying a standard assignment size of $2,600,000 by the economic index for the Sales Territory of the agent opportunity.


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This total amount is divided evenly to create a maximum Premium Builder Payment payout for each month. Once the new Auto and Fire premium minimum has been reached in a given month, 50% of this max payout is received. When new Auto and Fire premiums are above the minimum, Premium Builder Payment is increased on a range up to the maximum monthly Premium Builder Payment.

Special entry premium benchmarks reduce the new Auto and Fire premium requirement to qualify for Premium Builder Payment in the first month of business.

After year 1, the maximum Premium Builder Payment opportunity is reduced as premium benchmarks increase. Remember, Premium Builder Payments are reduced dollar-for-dollar by assigned compensation.

**Premium Builder Payment Example**
David and Angela both opened their businesses four months ago in the same territory. Both will receive $5,000 in new Auto and Fire commissions from personally produced Auto and Fire policies last month. David has assigned policies, while Angela does not. So, David's Premium Builder Payments are reduced dollar-for-dollar by the commissions he received from assigned policies.

Both David and Angela are in the same territory with an economic index of **108.76%**, so they both have a maximum monthly Premium Builder Payment of $18,852. Both have produced enough new Auto and Fire premiums to qualify for the maximum Premium Builder Payment this month.

Angela has no assigned policies, so she receives the full **$18,852** in Premium Builder Payments.

David has assigned policies and receives **$15,054** in commissions from those policies. As assigned commissions reduce Premium Builder Payments dollar-for-dollar, David's Premium Builder Payment is reduced to **$3,798** ($18,852- $15,054).

Both will receive **$5,000** from personally produced Auto and Fire policies last month.

| | **David**<br>Received an initial policy assignment | **Angela**<br>A New Market Agent |
|---|---|---|
| **Maximum Monthly Premium Builder Payment** | $19,028 | $19,028 |
| Commissions from personally produced Auto & Fire business | $5,000 | $5,000 |
| Commissions from assigned Auto & Fire business | $15,054 | $0 |
| Premium Builder Payment | +$3,974 | +$18,852 |
| **Total Compensation** | **$23,852** | **$23,852** |

## Base Compensation: Property & Casualty and Life/Health

For information on Property & Casualty and Life/Health base compensation rates, please reference the *Calculating Base Compensation* video in the Planning the Business section of the Resource Library.

## Financial Services Compensation

Agents must obtain Registered Representative and Investment Adviser Representative status including completing the necessary agreements to be authorized to offer products and services on behalf of State Farm VP Management Corp. (SFVPMC) and State Farm Investment Management Corp. (SFIMC).


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- Completing the **Registered Representative Agreement** authorizes you to market and offer securities products like mutual funds.
- Being an **Investment Advisor Representative (IAR)** allows you to provide advisory services on behalf of SFIMC.

As a registered agent, there is the opportunity to receive additional commissions by offering a variety of products and services such as Brokerage (offering mutual funds), Advisory Services (offering five suites of model portfolios), Pacific Life variable universal life (VUL), and Jackson variable and fixed index annuity products.

During Path to Entrepreneurship, you will get the chance to learn more about financial services compensation, however, it's important to remember that the State Farm® Sales Practices Philosophy and Principles is about placing customer needs first, operating fairly and doing the right thing. We strive to encourage customer conversations, customer service, and meet customer needs in our sales-related promotions, rewards, and incentives.

Before diving into how commissions work, it's important to define Purchase Amount, and Assets Under Management (AUM).

- **Purchase Amount:** This is the initial purchase amount – along with any subsequent purchases (if any) – for a Brokerage account.
- **Assets Under Management (AUM):** This is the total amount of money a customer has invested in Brokerage or that State Farm Investment Management Corp. manages for them in Advisory Services.

## Brokerage

Tiered commission is based on customer purchase amount.

| Customer Purchase Amount | Compensation % |
|---|---|
| Less than $25,000 | 2.25% |
| $25,000 to $49,999 | 2.03% |
| $50,000 to $99,999 | 1.69% |
| $100,000 to $249,999 | 1.24% |
| $250,000 to $499,999 | 1.01% |
| $500,000 to $749,999 | 0.79% |
| $750,000 to $999,999 | 0.56% |
| $1,000,000+ | 0.45% |

Note: An additional 0.15% trailing commission is earned on brokerage Assets Under Management (AUM).

## Advisory Services

Tiered commission based on Assets Under Management (AUM) amount (paid quarterly).

| Customer Assets Under Management | Annual Compensation % |
|---|---|
| $15,000 to $99,999 | 0.44% |
| $100,000 to $499,999 | 0.40% |
| $500,000 to $999,999 | 0.34% |
| $1,000,000 + | 0.25% |

**Brokerage**

- Pay a higher one-time commission for each purchase that decreases as the investment amount subsequently grows through any additional purchases and/or market growth (tiered rates).
- Pay 0.15% annual trailing commission on Assets Under Management.

**Advisory Services**

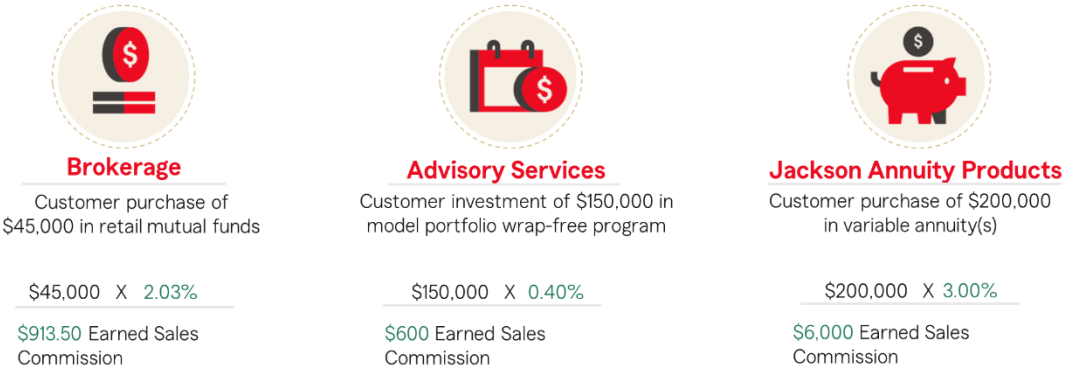
- Pay a lower annual commission that decreases as the Assets Under Management amount grows (tiered rates).

**Jackson Annuity Products**

- Pay a one-time 3% commission on new investments


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## Financial Services: Compensation Example




**Brokerage**
Chris is a State Farm agent. His customer purchased $45,000 worth of shares of a retail mutual fund, resulting in a commission rate of 2.03% based on the $25,000 to $49,999 tier. To calculate the commission, multiply the total purchase amount by the commission rate: $45,000 × 2.03%.

For this sale, Chris will receive an initial commission of **$913.50**.

An additional 0.15% annual trailing commission is received on Brokerage Assets Under Management.

**Advisory Services**
Another customer invested $150,000 in the model portfolio wrap-fee program, resulting in an annual commission rate of 0.40% based on the $100,000 to $499,999 tier. To calculate the commission, multiply the total amount invested by the commission rate: $150,000 × 0.40%.

For this sale, Chris will receive **$600** in annual commissions.

**Jackson Annuity Products**
Chris sold a new annuity (new money) at $200,000 resulting in a commission rate of 3%. To calculate the commission, multiply the total sale amount by the commission rate: $200,000 x 3%.

For this sale, Chris will receive a one-time commission of **$6,000**.

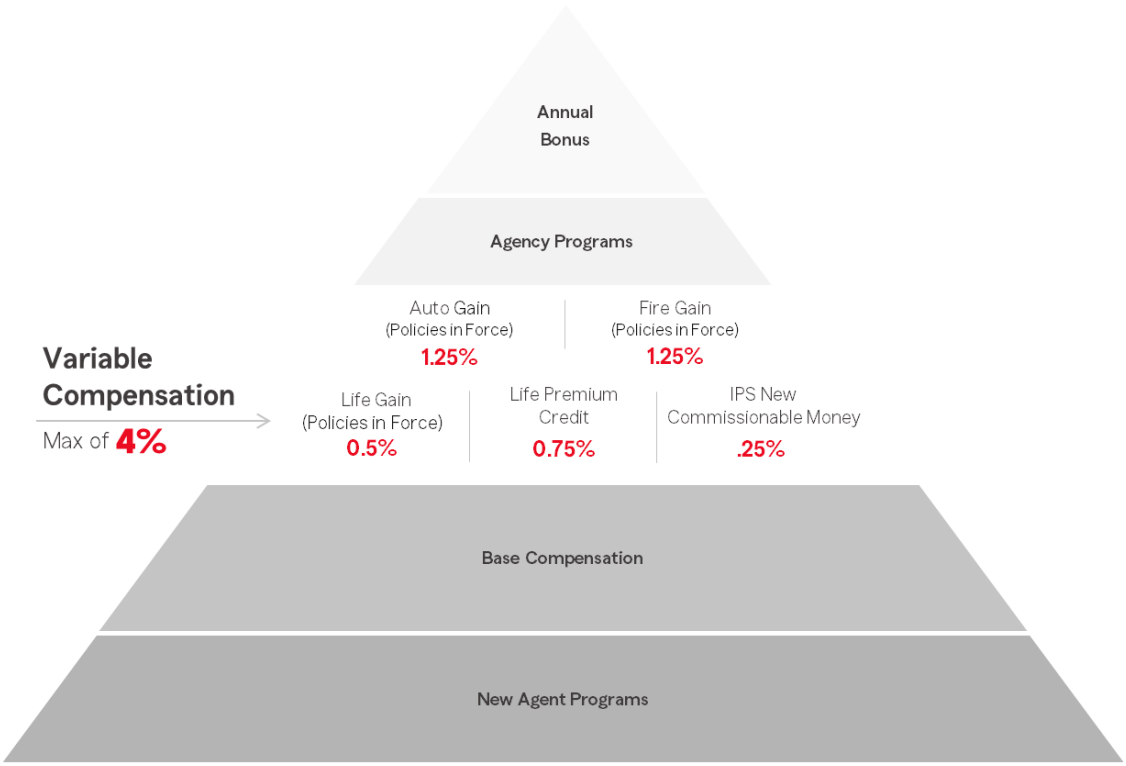
# Variable Compensation

Variable Compensation is a program for agents to receive additional compensation on top of their base commission rates, which is determined by how well they do in these five key areas:

- Auto PIF Gain
- Fire PIF Gain
- Life PIF Gain
- Life Premium Credit
- IPS New Commissionable Money

Agents can increase their Variable Compensation rate on each key area with the maximum Variable Compensation rate being capped at 4%.


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- **Auto Gain (1.25%):** Agents can receive an additional 1.25% commission on P&C insurance premiums if they grow the number of Auto policies they service. This includes producing new policies and retaining existing customers.

- **Fire Gain (1.25%):** Similarly, agents can receive an additional 1.25% commission on P&C premiums by growing their Fire policy count. This metric works like Auto Gain, rewarding agents for increasing policies in force through new sales and maintaining strong customer retention.

- **Life Gain (0.50%):** An agent must meet a P&C production minimum to be eligible to receive the rate under this metric. Life PIF gain is a measure of net growth of Life policies in the book of business. This metric recognizes the importance of growth in policy count, which is impacted by production and retention.

- **Life Premium Credit (0.75%):** An agent must meet a P&C production minimum target to be eligible to receive the rate under this metric. Life premium credits are earned when the first policy year premiums are due and applied. This metric is designed to encourage multi-lining and serve the broader needs of customers.

- **IPS New Commissionable Money Metric (0.25%):** An agent must meet a P&C production minimum target to be eligible to receive the rate under this metric. IPS New Commissionable Money during the current calendar year determines the agent's IPS percentage received under this metric. This metric is designed to encourage multi-lining and serve the broader needs of customers. This measurement is based on the amount of IPS New Commissionable Money received, not the number of policies/accounts sold.

## Variable Compensation Default Rate Period

Agents with less than two full calendar years of experience get a default rate of **3%** above their base commission rate.


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During the default period, an agent receives the default rate (3%) plus any additional rate received from the Life Premium Credits and IPS New Commissionable Money metrics (up to 4% maximum) if the P&C Production minimum is met.

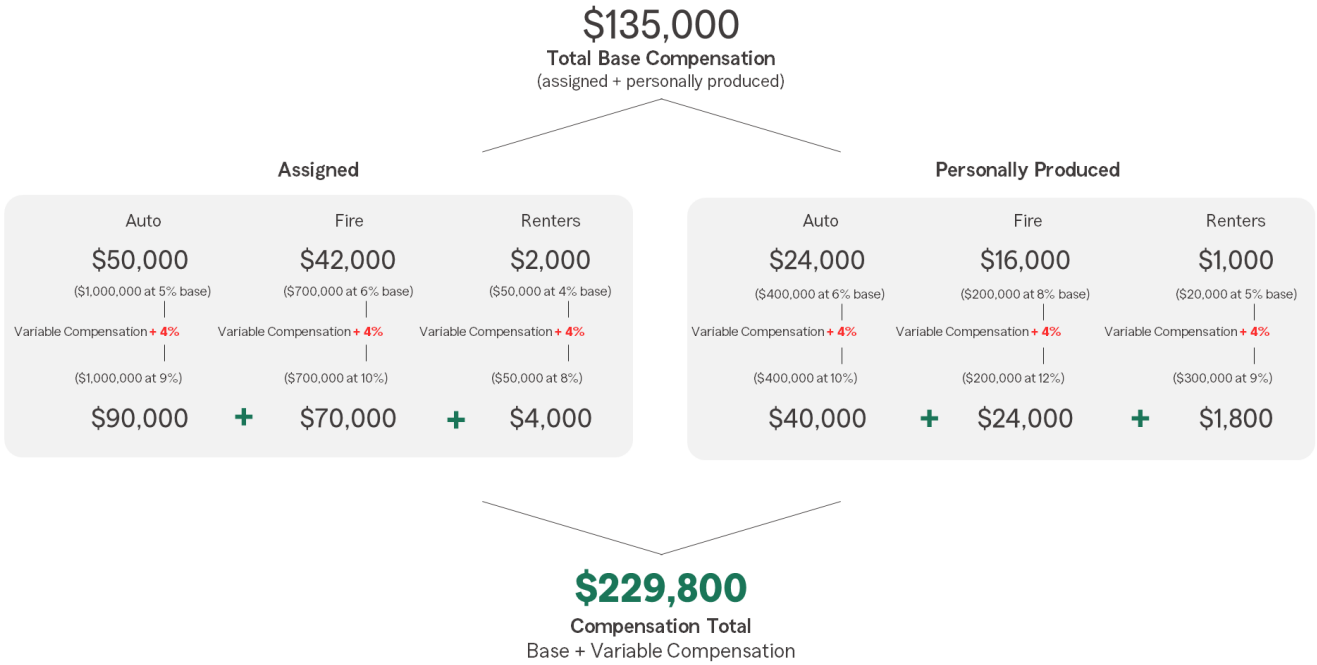
After the second full calendar year, the variable compensation rate will move from the 3% default rate to the rate calculated in the prior year (max 4%), with the new rate being applied to the base rates for Auto, Fire (Non-Renters), and Fire (Renters) products beginning in April.

## Customer Engagement Standards

Customer Engagement Standards (CES) are part of the pay schedules and encourage agents to consistently fulfill the obligations outlined in the Agent's Agreement with a focus on actively addressing customer needs, expanding the assigned book of business, helping service more State Farm customers, and positively contributing to Enterprise growth goals throughout the lifecycle of their agent opportunity.

## Calculating Variable Compensation

This example is for illustrative purposes only.




An agent receives the following in base compensation:

- 5% on $1,000,000 in assigned Auto premiums = **$50,000**
- 6% on $700,000 in assigned Fire (Non-Renters) premiums = **$42,000**
- 4% on $50,000 in assigned Fire (Renters) premiums = **$2,000**
- 6% on $400,000 in personally produced Auto premiums = **$24,000**
- 8% on $200,000 in personally produced Fire (Non-Renters) premiums = **$16,000**
- 5% on $20,000 in personally produced Fire (Renters) premiums = **$1,000**

Total base compensation: **$135,000**

If the agent meets all the top Variable Compensation targets and receives the full 4% bonus, the commission rates increase to:


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- 9% (5% + 4%) on $1,000,000 in assigned Auto premiums = **$90,000**
- 10% (6% + 4%) on $700,000 in assigned Fire (Non-Renters) premiums = **$70,000**
- 8% (4% + 4%) on $50,000 in assigned Fire (Renters) premiums = **$4,000**
- 10% (6% + 4%) on $400,000 in personally produced Auto premiums = **$40,000**
- 12% (8% + 4%) on $200,000 in personally produced Fire (Non-Renters) premiums = **$24,000**
- 9% (5% + 4%) on $20,000 in personally produced Fire (Renters) premiums = **$1,800**

This raises the total commission to **$229,800** – which is an extra $94,800 or a 70% increase.

## Annual Bonus: Agent Scorecard

Agents must meet certain requirements to be eligible for the Scorecard Bonus – a program where agents can receive points (up to 650) each year by reaching benchmarks that are aligned with meeting the broader needs of customers, which include:

- Having more conversations with State Farm customers to understand and meet their needs.
- Supporting and offering multiple product lines, not just focusing on one.
- Growing the business steadily by increasing the number of policies produced and the premiums collected.

The Scorecard goals focus on consistent and profitable growth in Property & Casualty (P&C) insurance, as well as continued growth in Financial Services.

Agents receive points throughout the year based on the current year's production, policy growth, commissions, and premiums. Most scorecard metrics are presented with a range that includes targeted minimum and maximum results. You only start receiving points in a category after you go beyond the minimum benchmark. Once the minimum is reached in a certain section, eligible commissions are pulled in for consideration, and you can potentially receive more points up to the maximum limit.

The total points you receive will help determine your bonus rate. The bonus rate is calculated by dividing your Scorecard points by a set number, with the highest bonus rate capped at **162.5%.** Your final bonus amount is determined by multiplying this bonus rate by your eligible commissions.

### Scorecard Example

This example is for illustrative purposes only.

Priya received 250 Scorecard points and has $50,000 in eligible commissions; her Scorecard Bonus would be calculated as:

Scorecard points ÷ Set number = Bonus rate
Bonus rate x eligible commissions = Scorecard bonus
(250 ÷ 400) × $50,000 = **$31,250**

The annual Scorecard Bonus is usually paid in March of the following year.

In addition to the Scorecard Bonus, other bonuses may be available for certain product lines. If you are selected for an agent opportunity, you will receive training during the Path to Entrepreneurship program to help you understand the details of the Scorecard Bonus and other compensation components of the State Farm independent contractor agent opportunity.

## Disclosures

The information provided in this Foundations of Agency resource is provided for illustrative purposes only. To determine actual compensation, the applicable State Farm® Agent's Agreement (and all other applicable Agreements) and their corresponding schedules of payments must be used and are subject to change as provided therein. Information contained herein does not guarantee eligibility to receive compensation or guarantee specific results.


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Eligibility and actual results will vary. Agency Programs, bonuses, prizes and allowances are subject to change at Company discretion.

As an insurance and financial services provider, State Farm is actively involved in the sales and marketing of many products. Contractually, State Farm retains the right to prescribe all policy forms and provisions, to set fees and charges, and to establish all the rules governing the binding, acceptance, renewal, rejections, and cancellations of all risks. However, acting on the behalf of State Farm, State Farm agents are an ongoing part of the State Farm sales process, and are contractually authorized to solicit applications for insurance, collect premiums, fees and charges, countersign and deliver policies, and assist policyholders. While the State Farm agents' role may informally be referred to herein or elsewhere as “sales”, "selling" or "writing" insurance and other products, State Farm agents are not authorized to make the final decisions as to whether or not State Farm will enter into coverage, or whether to sell a State Farm product. Please refer to the Agent's Agreement for more specifics as to the precise authorization of State Farm agents.

All sales should be based on customer needs. Rewards, promotions and incentives are provided to agents to encourage customer conversations, customer service and meeting customers’ needs. The needs-based sales process will be covered during the Path to Entrepreneurship. The State Farm Sales Practice Philosophy is about placing customer needs first, operating fairly and doing the right thing.

We strive to encourage customer conversations, customer service, and meeting customer needs in our related promotions, rewards, and incentives.

As a reminder, State Farm agents are independent contractors. As independent contractors, State Farm agents hire their own employees, make all employment decisions regarding their employees and are responsible for their own business operations. State Farm does not manage, exercise or assume control of independent contractor agents’ business operations or employees.

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**Union Bank and Trust** Program Manager

**State Farm VP Management Corp.** Selling Dealer

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